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Walking Alone

Autonomy and Accountability of the Reserve Bank

Is the Reserve Bank independent? I don't have a binary answer to this question. The best I can do is offer a long and nuanced response.

A widely shared view is that the Reserve Bank has no independence and that the government pressures the Bank to act as per its bidding. This view is largely impressionistic, shaped more by perception than hard evidence. It is also an urban legend that has gained currency by sheer repetition. I have also often been struck that foreign media, whenever they write about the Reserve Bank, routinely qualify it as 'one of world's least independent central banks'. I believe this too is an uninformed bias rather than the result of any rigorous research on the relative independence of central banks around the world.

In my five years at the Reserve Bank, I was asked repeatedly about the independence of the Reserve Bank. I was not the first governor to confront this question and I know I won't be the last. It is an issue that keeps coming up in public discourse, in part aided by our energetic and enthusiastic media.

My predecessor, Y.V. Reddy, had a stock response to this question: 'The Reserve Bank is totally free within the limits set by the government.' This answer is clever, even technically correct, but still ambiguous. What indeed are the limits set by the government? Are they well defined and is there a shared understanding on both sides of their respective obligations and code of conduct? What are the remedies if there is a transgression?